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Secure Distribution Venture Pvt. Ltd.

What Is PSU Receivable Financing ?

A Definitive Reference Manual & Study Guide to Bill Monetization, Structured Escrow Cash Flow Sweeps, and Sovereign Credit Arbitrage in the Indian Banking System

Developed by **www.loanbazaaronline.com**

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Module 1: Theoretical Foundations and Product Philosophy

The Sovereign and Semi-Sovereign Credit Paradox

PSU Receivable Financing addresses a critical structural friction in Indian corporate credit markets: the 'Sovereign and Semi-Sovereign Credit Paradox'. While Public Sector Undertakings (PSUs) represent the highest tier of creditworthiness with virtually zero default risk (backed by central or state government ownership), they are historically associated with notoriously slow payment processes. A typical SME or mid-corporate contractor supplying heavy engineering equipment, raw materials, or specialized civil execution services to a Maharatna or Navratna PSU finds their working capital locked in unpaid book debts for 90 to 180 days. This cash flow dry-out limits operational scaling, suppresses supplier cash discounts, and causes severe mismatching of cash conversion cycles (CCC).

The Shift in Credit Underwriting Pivot

Traditional corporate credit relies heavily on a borrower's static balance sheet strength, requiring extensive collateral, high debt-service margins, and personal promoter guarantees. In contrast, PSU Receivable Financing shifts the analytical and underwriting pivot away from the SME vendor's fragile balance sheet directly to the credit rating of the buying PSU. Banks and Non-Banking Financial Companies (NBFCs) leverage the transaction's low credit-default risk to disburse quick, low-cost capital, allowing suppliers to convert accepted bills into immediate liquid cash.

Historical Context and Market Sizing

Sovereign bill discounting emerged from the legacy bill purchase systems of the late 20th century. Over time, statutory frameworks and digitalization have automated invoice-level validation, shifting the industry toward structured flow-based funding. To support localized supply chains, the Reserve Bank of India (RBI) and public sector lenders like the State Bank of India (SBI) have prioritized vendor-led credit lines, positioning PSU receivable financing as a core pillar of modern Indian working capital management.

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Module 2: Structural Comparative Taxonomy

Differentiating Trade Financing Structures

To assist corporate treasurers and bank risk auditors in distinguishing PSU Receivable Financing from standard working capital structures, this section presents a comprehensive comparative taxonomy mapping four major credit instruments under Indian regulations. This comparative matrix explores primary risk anchors, recourse definitions, and balance sheet treatments.

Comparison Parameter	PSU Receivable Finance	Standard Corporate Factoring	TReDS Platform Funding	Traditional Cash Credit (CC)
Primary Risk Anchor	Sovereign PSU rating	Corporate buyer rating	Corporate buyer rating	Supplier's assets & collateral
Recourse Structure	Typically with-recourse	Recourse/Non-recourse	Strictly non-recourse to supplier	Full-recourse secured
Collections Administration	AD bank Escrow sweep	Factor led ledgering	Automated RBI NACH debit	Supplier self-liquidated
CERSAI Charge Registration	Mandatory within 10 days	Mandatory within 30 days	Mandatory (registered by platform)	Mandatory hypothecation filing

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Module 3: The End-to-End Operational Lifecycle

Chronological Progression of a PSU Financing Tranche

The operational pipeline of a PSU receivable transaction is structured into five distinct chronological phases, establishing a transparent cash flow loop from bid award to ultimate bank settlement:

1. Contract Award & Delivery Verification

The lifecycle commences when the registered supplier receives a formalized contract or Purchase Order (PO) from the PSU. Upon manufacturing, shipping, or executing a project milestone, the vendor compiles delivery documentation. To mitigate performance risk, the PSU's designated Division Officer or Drawing and Disbursing Officer (DDO) must issue an official Joint Measurement Certificate (JMC) or an unqualified Delivery Inspection Report (DIR).

2. Invoice Generation and GSTN Portals

Upon secure delivery verification, the supplier generates an official commercial invoice, complete with GST calculations. Under current Indian tax rules, the invoice must be registered on the GST Network (GSTN) Invoice Registration Portal (IRP), generating an official E-Invoice with a unique 64-character Invoice Reference Number (IRN) and an encrypted QR code to eliminate fake invoice duplication.

3. Bill Lodgment and AD Bank Escrow Set-up

The generated e-invoice is officially lodged with the Authorized Dealer (AD) bank along with an irrevocable Power of Attorney (PoA) signed by the supplier, declaring that all future payments related to this specific invoice must be remitted directly to the designated interbank Escrow account.

4. Limit Activation and Drawing Power

The bank's back-end operations team conducts real-time verification of the e-invoice, custom shipping document, and DDO acceptance. Once confirmed, the bank applies a designated safety margin (typically 15% to 20%), calculates the net Drawing Power (DP), and disburses up to 80% or 85% of the invoice face value directly to the supplier's active account within 24 to 48 hours.

5. Maturity Liquidation and PSU Remittance

Upon usance maturity (ranging from 60 to 180 days), the PSU's treasury department executes a direct electronic payment via NEFT/RTGS/PFMS. Due to the registered irrevocable PoA, these funds are routed directly into the bank's designated Escrow Account, automatically retiring the outstanding principal and interest, and releasing the remaining 15% or 20% margin surplus back to the supplier's current account.

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Module 4: Transactional Credit Underwriting & Risk Metrics

The Paradigm Shift in Risk Assessment

Underwriting PSU receivables requires transitioning from backward-looking balance sheet ratio audits to forward-looking, transaction-level metrics. Rather than reviewing the supplier's fixed asset coverage or leveraging thresholds, credit officers examine the PSU's sovereign status and history of payment timelines. Key parameters of this quantitative model include:

Primary Underwriting Risk Metrics

• Promoter Personal CIBIL Score: Maintained at a minimum threshold of >700 to ensure foundational promoter integrity.
• CIBIL MSME Rank (CMR): The supplier's score must be within CMR 1-4, indicating a low-risk historical credit profile.
• Underwriting PSU Categories: Categorizing PSU buyers based on Maharatna, Navratna, and Miniratna statuses, with top-tier Maharatnas (e.g., NTPC, ONGC, IOCL) enjoying immediate, high-limit line approvals at premium interest spreads.
• Historical Invoice Dilution: Analyzing historic credit notes, quality returns, and deduction averages (standard threshold must be under <2.50%).
• Account Aggregator (AA) Integration: Leveraging automated APIs to extract real-time transaction history from the vendor's primary current accounts, monitoring cash flow velocity and eliminating double-financing risks.

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Module 5: Legal Framework, Security Creation, and Documentation

Statutory Foundations of Actionable Claims

Receivable purchase structures are legally governed by Section 130 of the Transfer of Property Act, 1882, which provides the statutory foundation for assigning trade receivables (book debts) as 'actionable claims'. Through a formalized deed of assignment, the supplier transfers all legal rights, title, and collection authority over the specified PSU bills directly to the financing bank.

The Notice of Assignment (NoA)

For the assignment to be legally binding and enforceable, the supplier and the bank must serve a formal Notice of Assignment (NoA) to the PSU's designated accounts division. Under Section 130, once the PSU receives and acknowledges the NoA, it is legally obligated to remit payments solely to the bank's designated Escrow account; any direct payment to the vendor does not constitute a valid legal discharge of the debt.

CERSAI Registration Covenants

Under Section 26D of the SARFAESI Act, 2002 and the Factoring Regulation (Amendment) Act, 2021, all receivable financing transactions must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) within a strict statutory window of 10 days from the date of drawdown. CERSAI filing ensures the bank establishes absolute legal seniority and public notice, preventing fraud and duplicate pledging of the same invoices to multiple financiers.

Tata Capital Master Terms Alignment

Under standard institutional agreements (such as Tata Capital's Master Terms and Conditions for invoice discounting), the borrower commits to comprehensive 'Conditions Precedent', including submitting tax clearance certificates, maintaining specific escrow structures, and agreeing to immediate penal charges in the event of misrepresentation or invoice dilution.

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Module 6: Sectoral Sizing, Target Industries, and Digital Ecosystems

High-Growth Sectors and Industry Alignment

PSU Receivable Financing is highly optimized for heavy industrial, capital-intensive, and infrastructure sectors where public procurement is dominant:

Target Manufacturing and Infrastructure Sectors

• Power & Grid Infrastructure: Contractors supplying turbines, transformers, and sub-station cables to PSUs like NTPC, PGCIL, and NHPC.
• Heavy Engineering & Metallurgy: Enterprises providing steel fabrications, castings, and heavy components to entities such as BHEL, SAIL, and GAIL.
• Telecom & Digital Networks: System integrators deploying fiber optic cables and digital routers for BSNL and TCIL.
• Civil Infrastructure & Smart Cities: EPC contractors executing national highway stretches, public housing blocks, or municipal water lines under Smart City projects.

Market Sizing & MSME Borrowing Dynamics

Citing historical credit pulse surveys from SIDBI and CRIF, Retail and Wholesale Traders represent the single largest block of working capital borrowers in India, accounting for 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore credit segment. PSU receivable financing acts as an essential catalyst for these trade intermediaries, allowing them to participate in high-value public procurement bids. Furthermore, nationalized lenders like the State Bank of India (SBI) have deployed digital supply chain ecosystems, including the SBI Electronic Vendor Financing Scheme (e-VFS), boasting an active portfolio size of ₹28,092 Crores, alongside the SBI Electronic Dealer Financing Scheme (e-DFS) with over ₹49,261 Crores in active dealer credits.

Integrated API Platforms

Digital private platforms integrate directly with the government's GSTN portals and public procurement databases to cross-verify the authenticity of e-way bills and DDO certs, delivering automated, real-time approval loops for registered vendors.

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Module 7: Commercial Pricing Mechanics and Financial Models

Interest Computations and Benchmarks

Financing charges are structured to align with RBI guidelines and international trade benchmarks. The overall cost consists of an external benchmark (typically the financing bank's Repo-Linked Lending Rate/EBLR or Marginal Cost of Funds Based Lending Rate/MCLR) plus a risk premium determined by the PSU buyer's credit rating. Simple interest is computed on a daily reducing balance basis:

Interest Formula (Daily Reducing Balance Basis)

Interest Expense = (Outstanding Principal Amount × Annualized Interest Rate × Usance Days) / 365

Processing Fees and GST Application

To establish a complete pricing breakdown, lenders apply an upfront processing fee (typically 0.10% to 0.25% of the limit). Under Central Board of Indirect Taxes and Customs (CBIC) guidelines, interest/discount components are completely exempt from GST, while processing fees, collateral audit charges, and repository fees attract standard GST of 18% (which qualifies for the supplier's corporate Input Tax Credit).

The Income Tax Interest Tax Shield

Under Section 36(1)(iii) of the Income Tax Act, 1961, all interest expenses incurred on working capital lines drawn for business operations are fully deductible from business profits. This interest tax shield significantly reduces the effective post-tax borrowing cost, enhancing corporate profitability:

Effective Post-Tax Cost Formula

Effective Post-Tax Interest Cost = Pre-Tax Interest Expense × (1 - Corporate Tax Rate)

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Module 8: Regulatory Compliance, IRACP Norms, and Digital Lending

RBI IRACP Norms and Asset Classification

All PSU Receivable Financing programs must operate strictly within the RBI's Income Recognition, Asset Classification and Provisioning (IRACP) guidelines. Any overdue interest or principal must be tracked across standard, sub-standard, and non-performing asset (NPA) cycles:

The 90-Day Overdue Cycle and NPA Triggers

• Standard (SMA-0): Principal or interest payment overdue for 1 to 30 days.
• SMA-1: Principal or interest payment overdue for 31 to 60 days.
• SMA-2: Principal or interest payment overdue for 61 to 90 days.
• NPA (Non-Performing Asset): Outstanding balances remaining overdue past the 90-day statutory threshold are automatically classified as NPAs, triggering mandatory provisioning and suspension of accrued interest.

The 'Out of Order' Trigger for Cash Credit Accounts

Under RBI guidelines, a working capital/receivable line is deemed 'Out of Order' if: (a) the outstanding balance remains continuously above the sanctioned limit or Drawing Power for 90 days, or (b) there are no credits in the account for 90 consecutive days, or (c) the credits are insufficient to cover interest debited during the preceding 90 days.

The 180-Day Technical Renewal Default

To prevent systemic evergreen lending, banks must formally review and renew all revolving credit limits annually. Under RBI guidelines, if a limit is not formally renewed within 180 days from its due date or expiry, the account is classified as a technical default NPA, regardless of its transaction history or stock cover.

RBI Digital Lending Guidelines

Under the updated RBI Digital Lending Guidelines (2022-2023), banks operating digital supply chain portals alongside Lending Service Providers (LSPs) must adhere to a strict 5% cap on Default Loss Guarantee (DLG) credit enhancement arrangements. Furthermore, all loan disbursals and repayments must execute directly between the bank's account and the borrower's account, with zero routing through third-party escrow pools.

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Module 9: Comprehensive Real-World Case Study

Case Study: Mumbai Heavy Engineering Pvt. Ltd.

To illustrate the financial and treasury mechanics of PSU Receivable Financing, we analyze a real-world scenario involving Mumbai Heavy Engineering Pvt. Ltd. (MHEPL), a mid-corporate supplier of industrial steel castings (corporate tax rate of 25.17%). MHEPL secures a high-value procurement order from NTPC Ltd. (a premier Maharatna PSU) to supply specialized boiler assemblies worth ₹2,00,00,000 (₹2 Crores).

The Financial Structure and Margin Application

- Invoice Face Value (Gross, inclusive of GST): ₹2,00,00,000
- Bank Prepayment Advance Rate: 85.00%
- Margin Reserve / Retention Haircut: 15.00% (equivalent to ₹30,00,000)
- Net Approved Drawing Power (DP): ₹1,70,00,000
- Usance Period: 90 Days
- Nominal Financing Interest Rate: 9.00% p.a. (simple interest, 365-day basis)
- Upfront Bank Processing Fee: 0.15% (equivalent to ₹25,500)

Step-by-Step Mathematical Calculations

1. Calculation of Pre-Tax Interest Expense:
Interest = (₹1,70,00,000 × 9.00% × 90) / 365 = ₹3,77,260.27

2. Calculation of Processing Fees and 18% GST:
Processing Fee = ₹1,70,00,000 × 0.15% = ₹25,500
GST on Processing Fee (18%) = ₹25,500 × 18% = ₹4,590
Total Processing Fees and GST = ₹30,090 (with ₹4,590 available as recoverable ITC)

3. Net Cash Disbursed to MHEPL's Account on Day 1:
Day 1 Cash Disbursal = Approved Principal - Pre-Tax Interest - Upfront Processing Fees & GST
Day 1 Cash Disbursal = ₹1,70,00,000 - ₹3,77,260.27 - ₹30,090.00 = ₹1,65,92,649.73

4. Interest Tax Shield Benefit (under Section 36(1)(iii)):
Tax Shield Benefit = ₹3,77,260.27 × 25.17% = ₹94,956.41
Effective After-Tax Interest Expense = ₹3,77,260.27 - ₹94,956.41 = ₹2,82,303.86

5. Effective Annualized Financing Rate (Post-Tax):
Effective Post-Tax Rate = (₹2,82,303.86 × 365) / (₹1,70,00,000 × 90) = 6.73% p.a.

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The Cash Settlement and Delay Sensitivity Analysis

On Day 90, NTPC remits ₹2,00,00,000 directly via PFMS to the designated interbank Escrow account. The bank automatically sweeps ₹1,70,00,000 to retire the advanced principal, and immediately releases the remaining ₹30,00,000 margin reserve back to MHEPL's primary current account, completing the transaction loop. Even if NTPC delays payment by 30 days (settling on Day 120), the escrow-backed structure remains safe. The additional interest of ₹1,25,753.42 is adjusted from the ₹30,00,000 margin reserve, avoiding default classification and protecting MHEPL's working capital line from NPA stress.

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Module 10: 10-Question Certification Examination

Course Module Certification Exam

This examination consists of 10 scenario-based, multiple-choice questions designed to test the trainee's understanding of PSU Receivable Financing structures, Indian legal frameworks, CERSAI filing rules, interest tax shields, and RBI IRACP guidelines. Correct options and exhaustive rationales follow each question:

Question 1 (The Transfer of Property Act, 1882)

Under which Section of the Transfer of Property Act, 1882 is the legal assignment of PSU trade receivables (as actionable claims) executed between the vendor and the financing bank?
A) Section 54
B) Section 58
C) Section 130
D) Section 172
★ Correct Option: C
★ Rationale & Analysis: Section 130 provides the statutory foundation for the legal assignment of actionable claims, allowing book debts to be contractually assigned and transferred to a third-party bank, establishing senior collection rights.

Question 2 (CERSAI Statutory Window)

To establish absolute legal seniority and prevent duplicate invoice pledging, within how many days must a bank register a factoring or receivable charge with CERSAI under current Indian regulations?
A) Within 3 days from drawdown
B) Within 10 days from drawdown
C) Within 30 days from drawdown
D) No registration is required for government bills
★ Correct Option: B
★ Rationale & Analysis: Under the Factoring Regulation (Amendment) Act, 2021, all receivable and factoring transactions must be registered with CERSAI within a strict statutory window of 10 days to establish public notice and prevent fraud.

Question 3 (RBI IRACP NPA Overdue Rules)

Under standard RBI IRACP guidelines, a PSU receivable transaction is classified as a Non-Performing Asset (NPA) if interest or principal payments remain overdue in the SMA cycle for more than:
A) 30 days
B) 60 days
C) 90 days
D) 180 days
★ Correct Option: C

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★ Rationale & Analysis: Any outstanding payment remaining overdue beyond the 90-day SMA-2 statutory threshold is automatically classified as a Non-Performing Asset (NPA), halting interest accrual and triggering mandatory bank provisioning.

Question 4 (Income Tax Act Section 36(1)(iii))

Which section of the Income Tax Act, 1961 allows a corporate supplier to claim a full deduction of working capital interest expenses from their business profits, creating an interest tax shield?
A) Section 10(1)(b)
B) Section 28D
C) Section 36(1)(iii)
D) Section 43B
★ Correct Option: C
★ Rationale & Analysis: Section 36(1)(iii) of the Income Tax Act, 1961 allows business interest expenses to be fully deducted from taxable business income, providing an interest tax shield that reduces effective borrowing costs.

Question 5 (The RBI 'Out of Order' Classification)

A PSU receivable cash credit line is classified as 'Out of Order' if the outstanding balance remains continuously above the Drawing Power for how many consecutive days?
A) 30 days
B) 60 days
C) 90 days
D) 180 days
★ Correct Option: C
★ Rationale & Analysis: Under RBI IRACP guidelines, an account is classified as 'Out of Order' if the outstanding balance exceeds the approved limit or Drawing Power continuously for 90 days.

Question 6 (FEMA and Trade Bill Completion)

Under standard FEMA guidelines, what is the maximum statutory timeline permitted for a registered exporter to realize and repatriate export proceeds to India?
A) Within 90 days from the shipment date
B) Within 180 days from the shipment date
C) Within 9 months (270 days) from the shipment date
D) Within 12 months from the shipment date
★ Correct Option: C
★ Rationale & Analysis: Under FEMA regulations, export proceeds must be realized and repatriated to India within 9 months (extended up to 15 months under the RBI Trade Relief Directions 2025 to cushion exporters from logistics crises).

Question 7 (RBI Digital Lending LSP Guarantee Cap)

Under the updated RBI Digital Lending Guidelines, what is the maximum cap allowed for Default Loss Guarantee (DLG) credit enhancement arrangements between banks and Lending Service

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Providers (LSPs)?
A) Capped at 2.0% of the loan portfolio balance
B) Capped at 5.0% of the aggregate loan portfolio exposure
C) Capped at 10.0% of the aggregate loan portfolio exposure
D) Guarantee arrangements are completely prohibited
★ Correct Option: B
★ Rationale & Analysis: To prevent under-the-radar credit risk transfers, the RBI caps all digital Default Loss Guarantee (DLG) arrangements at a maximum of 5.0% of the aggregate loan portfolio exposure.

Question 8 (Maharatna vs. Navratna Pricing)

Which factor plays the primary role in determining the interest rate spread in a structured PSU Receivable Financing transaction?
A) The credit rating and categorization of the buying PSU (e.g., Maharatna status)
B) The value of the vendor's physical fixed assets
C) The current account balance of the supplier's company
D) The promoter's CIBIL MSME Rank (CMR) alone
★ Correct Option: A
★ Rationale & Analysis: Because underwriting is transaction-backed, the pricing is determined by the PSU's creditworthiness. High-tier Maharatnas enjoy lower risk spreads over benchmarks, reducing borrowing costs for the vendor.

Question 9 (The 180-Day Technical NPA Trigger)

Regardless of the transaction history or stock cover, a revolving credit limit is classified as an NPA if it is not formally reviewed and renewed within:
A) 30 days from expiry
B) 90 days from expiry
C) 180 days from expiry
D) 365 days from expiry
★ Correct Option: C
★ Rationale & Analysis: To prevent systemic evergreen lending, RBI guidelines dictate that if a limit is not formally reviewed and renewed within 180 days of its expiry, it is automatically classified as a technical default NPA.

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Question 10 (Notice of Assignment - NoA)

Under Section 130 of the Transfer of Property Act, 1882, what is the legal effect of serving a formal Notice of Assignment (NoA) on a PSU buying entity?
A) It increases the interest rate of the outstanding invoice automatically.
B) It releases the seller's promoter from all personal CIBIL liability.
C) It legally binds the PSU to remit payment solely to the designated bank Escrow account, and any payment to the seller's direct accounts does not constitute a valid legal discharge of the debt.
D) It exempts the transaction from CERSAI and corporate income tax requirements.
★ Correct Option: C
★ Rationale & Analysis: Under Section 130, once the PSU is formally notified of the receivable assignment via an NoA, it is legally bound to remit payments directly to the bank's escrow. Any direct payment to the vendor is invalid and does not discharge the sovereign debt.

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